



How to Stop Absorbing Credit Card Fees

How outdated billing systems quietly drain profit and what leading service providers are doing to stop it.

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Introduction

You may be losing up to 3.5% on every transaction. That is thousands, even tens of thousands of dollars every month without you realizing it.

That money isn't going to your team or your growth. It's disappearing into outdated billing systems and unnecessary credit card fees that quietly drain your profit margins.

It's time to retire the systems quietly holding your profits hostage. The choice is simple: Continue to subsidize your clients' payments, or read on to discover the blueprint that makes your firm profitable on every single transaction.

The Profitability Leak

1.1

The Silent Killer: Credit Fee Erosion

Every service provider knows credit card fees eat into profit. But most don't realize how avoidable they are.

When your billing platform forces you to absorb credit card processing costs, you're handing over **2.9%–3.5%** of your revenue to payment vendors. This percentage isn't arbitrary; it's a composite of three separate, unavoidable costs:



Interchange Fees

The largest component, paid to the bank that issued your client's card.



Assessment Fees

Paid directly to the card networks (Visa, Mastercard, etc.).



Processor Markup

Added by your payment processor or billing software.

These costs compound when vendors charge additional platform or integration fees. It's the modern-day margin tax on MSP operations. Your effective rate for online invoicing often sits around **3.0%**.

But the contrast is clear. Credit card fees rise with every invoice, while low-cost ACH transactions remain flat and minimal. This gap is your largest opportunity for profit recovery. The table below illustrates the cost you absorb versus the efficiency you could gain on a per-client, per-year basis.

1.1

The Silent Threat: Merchant Fee Erosion (Cont'd)

The tragedy? In 45 states, businesses are legally allowed to pass those fees directly to customers when done correctly and transparently. This strategy is your biggest opportunity to reclaim profitability. However, navigating varied state laws and network rules is complex. The strategic solution ensures compliance is automated, handling required disclosures and line-item segregation immediately, so your team drastically minimizes compliance risk and liability exposure.

Loss Scenario	Invoice Amount	Your Current Loss (3% fee)	Ideal Cost (ACH Max Cap)	Savings Per Client Annually (12x)
Small Ticket	\$500	\$15.00	\$5	\$120.00
Mid-Tier Contract	\$2000	\$60.00	\$5	\$660.00
Large Retainer	\$5000	\$150.00	\$5	\$1,740.00

1.2

The Collections Time Trap

The profit leak isn't just fees; it's multiplied by the hours lost to manual billing cycles, invoice chasing, and reconciliation delays. It's also known as the Workflow Tax.

Two primary culprits contribute to this heavy tax:



The Manual Check Delay and DSO Risk

Accepting checks introduces multiple, lengthy friction points that directly halt your cash flow. This archaic cycle significantly slows your Days Sales Outstanding (DSO), making it harder to cover crucial operating expenses, manage vendor payments, and meet payroll deadlines.



The Billing Cycle Time Trap

Systems that cap automated reminders are still a major operational failure that consumes staff time.

1.2

The Collections Time Trap (Cont'd)

To illustrate the verifiable costs embedded in these archaic processes, we contrast the verified median cost of processing a paper check versus an electronic ACH payment.

According to data compiled by the Association for Financial Professionals (AFP), the median cost of issuing a paper check (including labor, materials, and bank fees) is roughly \$3.00 per transaction. Conversely, the median cost of an electronic ACH payment is only \$0.50.

This difference, a \$2.50 saving per payment, is money your business could keep. The table below uses these verified costs to illustrate the immediate, compounded profit leak for practices of various sizes.

Cost Scenario	Monthly Volume	Direct Costs of Checks of Checks (≈\$3.00 each)	Direct Cost of ACH (≈\$0.50 each)	Annual Savings Potential
Low Volume Practice	100 Checks / Payments	≈\$300.00	≈\$50.00	\$3,000 in Avoidable Overhead
Medium Volume Practice	350 Checks / Payments	≈\$1,050.00	≈\$175.00	\$10,500 in Avoidable Overhead

The Service Billing Efficiency Checklist

To transform billing from an admin burden into a profit engine, your next payment solution must meet these three non-negotiable requirements.

2.1

Non-Negotiable: Guaranteed Fee Control

The ability to eliminate fee erosion starts with one crucial tool: a payment platform that gives you direct command over your financial outcomes.

Most payment vendors default to a system that assumes the invoice creator (your business) must absorb all credit card fees. They offer no flexibility because their technology wasn't built for strategic client management. This lack of choice forces you into a dilemma: either absorb a **3.0% loss** on every invoice, or risk annoying your best clients by charging them fees, even though their business is high-value.

2.1

Non-Negotiable: Strategic Fee Control (Cont'd)

A modern solution must be able to toggle credit card fees on/off for each client and invoice. This feature is a game-changer because it allows you to be strategic with your profitability:

**Protecting Premium Clients**

Imagine a recurring client who pays tens of thousands of dollars monthly. To maintain that long-term, high-value relationship, you can offer the strategic perk of covering their credit card fees.

**Maximizing Small Transactions**

For a one-time client or small invoice, taking on a 3.0% loss severely cuts into your profits. You can set the default to pass the fee onto them, protecting your margins where the relationship risk is low.

This control allows you to eliminate unnecessary losses while reinforcing client loyalty. The natural result is that fees are passed on only when appropriate, immediately driving clients toward low-cost ACH, which, for a business owner, is a no-brainer.

2.2

Non-Negotiable: Transparency & Compliance

Your system must adhere to CPA best practices because the vast majority of generic payment tools compromise your books for speed.

Many systems prematurely reduce Client Revenue before the cash is fully received, creating a reconciliation nightmare and inflating your working capital figures. When a payment vendor fails here, your team wastes valuable time fixing their errors instead of serving clients.

A proper solution eliminates this risk by combining the legal and accounting mandates:

2.2

Non-Negotiable: Transparency & Compliance (Cont'd)

Flawless Accounting Integrity

A compliant system must route payments through undeposited funds until fully cleared. This commitment to accounting purity ensures:

**Mitigates Risk**

It prevents inaccurate reporting of paid invoices before funds are verified and available.

**Ensures Accuracy**

Your balance sheet accurately reflects cash on hand according to GAAP.

**Saves Time**

It eliminates the stress of manual clearing of account work, making reconciliation seamless.

Legal Fee-Passing Mandate

Passing fees aren't about cutting corners—it's about operating smartly within defined regulations. Your billing system must automate all client disclosures to safeguard your margins and reputation:

**Proper Disclosure**

The system must meet card network and state rules by providing clear, proper disclosure before payment is made.

**Transparent Reporting**

It must automatically segregate the surcharge as a separate line item on the client receipt, maintaining transparency and avoiding compliance breaches.

2.3

Non-Negotiable: Automated Workflow

Billing should run itself. The ideal system eliminates the Time Trap by providing complete automated workflow freedom. This freedom is defined by these critical, non-negotiable features:

**Unlimited, Customizable Billing Sequences**

The system must provide unlimited billing sequences that replace the inefficient three-reminder limit. This ensures every overdue invoice receives a timely, customized follow-up without consuming any staff time.

**Proactive Visibility**

Billing is not just about reminders; it is about information. The system must provide full visibility, showing if an invoice email has been opened or bounced back. This allows staff to react quicker to bad data (like wrong client emails) instead of blindly chasing a client who never received the invoice.

**Training Ease**

The technology must be intuitive. The client portal must be simple enough for account managers to teach a customer how to use it in minutes, guaranteeing high client adoption and reducing the burden on your team to provide ongoing technical support.



Introducing Alternative Payments

3.1 The Platform That Checks All The Boxes

You have reviewed the blueprint. You know that eliminating the \$25,000 revenue leak requires a solution built specifically for financial control and operational integrity—not a generic payment processor.

The solution is a platform that delivers every feature on your checklist, backed by an unwavering commitment to your business's profitability: Alternative Payments.

The platform is the complete AR Automation tool, engineered to solve the exact problems you face:



Guaranteed Fee Reversal

We deliver the non-negotiable strategic fee toggle, allowing you to protect the margins you saw eroding in our fee comparison table.



Flawless Integrity

We guarantee financial reporting accuracy via proper undeposited funds flow, eliminating the risks of premature revenue reduction.



Zero-Stress Workflow

We provide robust automation, including unlimited billing sequences and full visibility, that eliminates the manual "Workflow Tax."

By moving your billing to a single, specialized platform, you immediately eliminate the need for manual link resending, streamline service billing, and finally stop paying to get paid.

True scalability requires a vendor that acts as a reliable partner, not a source of frustration.

Unlike vendors whose support is reactive rather than proactive, Alternative Payments provides dedicated support that understands technology services workflows. The system is intuitive, and the ease of use allows your account managers to teach a customer how to use the self-service portal quickly, reducing your support overhead entirely.

Alternative Payments is committed to being a stable, dedicated solution for service management, giving your business the peace of mind that your critical AR systems are not vulnerable to the chaos of sudden acquisitions or changing platforms.

3.2 Seamless Integration: The Full Tech Stack

A solution designed for growth must be a native partner to the mission-critical systems you already rely on. Alternative Payments provides true interoperability, eliminating the need for fragmented third-party bridges and manual data entry.

3.2

Seamless Integration: The Full Tech Stack (Cont'd)

Our platform is engineered to accelerate your quote-to-cash cycle by integrating directly with your entire service stack:

Professional Services Automation (PSA)

Integration with your PSA is essential for linking client service delivery and contracts directly to billing.



Autotask



HaloPSA



ConnectWise PSA



SuperOps.ai

Quoting & Proposal (CPQ)

Accelerate your sales pipeline by instantly converting quotes into payment-ready invoices.



ConnectWise CPQ



Quoter



QuoteWerks

Financial & Accounting Systems

We ensure a clean, automatic sync with your general ledger, making reconciliation effortless and keeping your financial reporting accurate without redundant data entry.



Freshbooks



Microsoft Dynamics 365

Microsoft Dynamics 365
Business Central

NetSuite ERP



QuickBooks Online



QuickBooks Desktop

3.2

Seamless Integration: The Full Tech Stack (Cont'd)

Financial & Accounting Systems (Cont'd)



Sage Intacct



Xero



Zoho Books

3.3

A Trusted System for You and Your Clients

True scalability requires a vendor that acts as a reliable partner, not a source of frustration. By adopting a reliable, high-integrity system, you gain the confidence to roll it out to your clients. This creates a unified, smooth financial ecosystem between the business and its clients.

Unlike vendors whose support is reactive rather than proactive, we provide dedicated support that understands service and billing workflows. Our systems are intuitive, and the ease of use allows your account managers to teach a customer how to use the self-service portal quickly. This focus on intuitive design ensures high client adoption, minimizing technical questions directed back to your staff.

We are committed to being a stable, dedicated solution for financial services, giving your business the peace of mind that your critical AR systems are not vulnerable to the chaos of sudden acquisitions or changing platforms.

The final stage of the profitability blueprint is realizing that the technology you adopt for your business can become a powerful new revenue channel.

By partnering with a solution that guarantees efficiency and integrity, you create three immediate returns:

**Client Value-Add (Retention)**

You enhance the client's experience by offering an automated, professional billing process that makes paying effortless. This positions your business as a strategic, technology-forward advisor, boosting client retention.

**Simplified Bookkeeping (Workflow)**

Your job becomes easier. The system follows CPA best practices (undeposited funds), making reconciliation effortless. Fewer errors, faster closes, and less stress for your entire team.

3.3

A Trusted System for You and Your Clients (Cont'd)

**The Profit Reward (Revenue Share)**

The business is rewarded for making a trusted, valuable recommendation. Our reliable program is structured as a transparent Revenue Share model, backing your confidence with direct profit.

The time to stop the leak is now. You've seen the blueprint for eliminating fee erosion, reclaiming staff time, and securing your business's financial integrity. The next step is not another reading assignment, it's quantifying your exact savings!